India, Iran, Maldives, Myanmar, Nepal, Pakistan and Sri Lanka—which have mutually agreed that trade payments among them will be settled on a multilateral netting basis which would help economize the use of foreign exchange reserves and transfer costs, as also promote trade among the member countries. Import and export of oil was brought under the ACU umbrella in 1985. The currency used for net settlement under the ACU mechanism was originally only the US dollar, but the euro was added as a settlement currency in January 2010.

Amidst misinformed and speculative news reports in America that the ACU mechanism was being used as a conduit for payments on behalf of Iranian companies that were blacklisted by the US for supporting nuclear proliferation activities, starting 2008, the US authorities heightened their scrutiny of payments under the ACU mechanism, gradually making it difficult and eventually impossible to use the dollar as a settlement currency for Iranian transactions.

To get around this, the ACU shifted to using the euro to settle payments to Iran. However, that channel too got choked in the wake of EU regulations issued in 2010 that any bank in the euro area effecting a transfer to Iran on behalf of the ACU had to obtain prior authorization from the euro area authorities by showing that the proposed transfer would not contribute to Iran's nuclear proliferation or other sensitive and prohibited activities. With the dollar out of the ACU since 2008 and euro following suit in 2010, Iran's continuation under the ACU arrangement became virtually impossible. The inevitable consequence of taking payments to Iran out of the ACU mechanism followed in December 2010.

Given India's significant reliance on Iranian oil, the lack of a payment channel landed us in a near-crisis situation. The challenge for us—the government and the Reserve Bank—was to identify a payment mechanism that was in compliance with the Iranian sanctions, but did not involve any American or European bank. The Iranian authorities who were in constant touch with us suggested several alternatives, but none of them materialized, as the parties involved were wary of the consequences of getting hit themselves by sanctions.